MRVL — Explain-It Notes

Marvell Technology · episode 2026-08-28 · price $216.70 · call: **WATCH**

Plain-language version of every slide — read this once and you can explain each one in your own words on camera. The deck itself, the full script, and every source are in the episode folder (SCRIPT.md / SOURCES.md) if you need the precise wording or a citation.

THE FIVE THINGS THIS EPISODE FOUND

1. Every quarter Marvell beats its own forecast a little — today's beat was the biggest in 6 quarters — and it has never once predicted whether the stock goes up or down.

2. Almost all the growth is one part of the business (AI data centers, 46% growth); the rest of the company actually shrank last quarter.

3. A $3.5B acquisition included a bonus payment tied to Marvell's OWN stock price — it has already cost $303M in real profit in 6 months.

4. NVIDIA secretly became a major shareholder in Marvell in March, for $2.0B — and that stake is already worth 136% more than NVIDIA paid.

5. 7 top executives sold $48M of stock over 16 months. The only buying was an automatic payroll plan — nobody chose to buy in with their own money.

THE BOTTOM LINE

WATCH — The AI growth here is real. So is the hit to profit from that stock-price-linked bonus payment. Fair-value range in my model: $42 to $299. I'd get interested at $211 or lower.

SLIDE BY SLIDE, IN PLAIN ENGLISH

SLIDE 1 of 9 · THE BEAT WASN'T THE STORY

It beat. It still fell.

Marvell beat expectations and raised its forecast — and the stock still fell 10%. That only makes sense once you see what the company filed with regulators but didn't put in its press release. Four things, and none of them made the headline.

Stock reaction	**-10.3% the next trading session**

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It beat every number and raised guidance. The stock fell anyway.

Source: 8-K EX-99.1, filed Aug 27 2026, plus the Q1 FY27 10-Q

SLIDE 2 of 9 · THE SCOREBOARD

A record quarter. A GAAP number that lags.

Companies report profit two ways. One is the number they WANT you to focus on — their own “adjusted” version, which strips out certain costs to look better. The other is the official number, calculated by the standard accounting rules every public company has to follow. Marvell's adjusted profit was 94 cents a share. Its official profit was only 33 cents a share — less than half. Some of that gap is normal: stock the company hands out to employees isn't cash out the door, so the adjusted number leaves it out. But that alone doesn't explain the whole gap. Something else is eating into the real number, and that's what the rest of this episode finds.

“Adjusted” profit per share	**$0.94**
Official profit per share	**$0.33 (35% of the adjusted number)**

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The number in every headline was 94 cents. The real number was 33.

Source: 8-K EX-99.1, Q2 FY27 · quarter ended August 1 2026

SLIDE 3 of 9 · FINDING 1 OF 4

The biggest beat. The worst reaction.

Every three months, Marvell tells Wall Street what to expect next quarter. And every single time for at least two years, it has beaten its own prediction — usually by a little. You'd think a bigger beat means a bigger stock pop. It doesn't. This was the biggest beat in a year and a half, and the stock still fell 10%. What actually moves this stock is the outlook for NEXT quarter, not how good THIS quarter already was — and this time, that outlook came with a warning sign on profit margins.

Today's beat vs. forecast	**$39M — the biggest in 6 quarters**
Stock reactions, last 8 quarters	**ranged from –20% to +23%**

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The biggest beat in six quarters. The worst reaction in a year.

Source: eight 8-K EX-99.1 releases, Dec 2024 – Aug 2026

SLIDE 4 of 9 · FINDING 2 OF 4

One segment is 79% of the revenue

Marvell sells chips to two kinds of customers: giant AI data centers, and everyone else — regular networking gear, phones, cars, that kind of thing. The AI data center side is booming. The “everyone else” side actually shrank from the quarter before. So when Marvell says revenue grew 46%, almost all of that growth is really just one part of the business carrying everything else.

Data Center revenue growth	**46% year-over-year**
Data Center's share of total revenue	**79%**
Everything else, this quarter	**shrank 3% from the prior quarter**

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One part of the business is 79% of the revenue.

Source: 8-K EX-99.1, Q2 FY27 — Quarterly Revenue Trend by end market

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A liability that grows when the stock does

In February, Marvell bought a small AI company called Celestial AI for $3.5 billion — and paid for more than half of it with its own stock instead of cash. Buried in the deal is a bonus payment that Marvell may still owe Celestial's former owners, and here's the strange part: the SIZE of that bonus is tied to Marvell's OWN stock price. So every time Marvell's stock jumps on unrelated AI news, this bonus grows too — and accounting rules make Marvell record that growth as a real cost against its profit. It has already cost $303M in just six months. Not because the business did worse — because of how this one deal was written.

Price paid for Celestial AI	**$3.5B (55% in stock, not cash)**
Cost so far from the bonus swinging with the stock price	**$303M, in 6 months**

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$303M spent managing a problem Marvell created for itself.

Source: 10-Q Notes 4 and 6

NVIDIA isn't just a customer here

Buried in the same paperwork as the bonus above: NVIDIA didn't just agree to work with Marvell on chips — in March, it also bought $2 billion of Marvell stock, at a price of about $92 a share. Marvell trades above $217 today. That means NVIDIA's stake has already more than doubled in value, and almost nobody covering this earnings report even mentioned it.

NVIDIA paid	**$2.0B, March 31, 2026**
Price NVIDIA locked in	**$91.84 a share**
What that stake is worth today	**136% more than NVIDIA paid**

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NVIDIA's stake is already worth 136% more than it paid.

Source: 10-Q Note 10, Stockholders' Equity

SLIDE 7 of 9 · WHAT THE INSIDERS ARE DOING

Seven sellers. Zero real buyers.

Every time a company executive buys or sells their own stock, they have to file a public report. Nobody adds these up — so we did, for the last year and a half. Seven executives, including the CEO and both the outgoing and incoming CFO, sold $48M of stock combined. In that entire stretch, the only shares anyone BOUGHT came from an automatic payroll-deduction purchase plan — nobody made an active decision to put more of their own money into the stock. One sale stands out: the brand-new CFO sold shares just eight days into the job, with none of the usual pre-scheduled paperwork on file.

Total sold, 7 executives, 16 months	**$48M**
Real, discretionary buying in that time	**$0 — the only buying was payroll-deduction**

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Seven sellers. Zero real buyers.

Source: 101 Form 4 filings, re-parsed from cached SEC XML

SLIDE 8 of 9 · SO WHAT DOES IT COST? [cuttable for time]

Cheaper than Broadcom. Growing slower too.

One way to tell if a stock is “cheap”: compare how much investors pay for each dollar of a company's sales. Marvell trades cheaper than Broadcom, its closest rival in this kind of chip. But Marvell is ALSO growing slower than Broadcom right now. So it's not really a bargain — it's roughly priced for how fast it's actually growing, once you account for that.

What Marvell costs vs. Broadcom	**88 cents on the dollar**
Marvell's revenue growth	**37% vs. Broadcom's 48%**

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Cheaper than Broadcom. Growing slower too.

Source: Live market caps · each company's latest reported quarter, annualized

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SLIDE 9 of 9 · SO WHAT AM I DOING?

Real growth, taxed by its own accounting.

Putting it all together: the AI growth is real, but a lot of the good news is already baked into the price. My own model says fair value is somewhere between $42 and $299 depending how things play out, and I'd get more interested buying around $211 or lower. My call for now: WATCH, not buy.

My model's range	**$42.44 – $298.58**
Where I'd get interested	**$210.59 or lower**
Today's price	**$216.70**

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My call: WATCH. Interesting at $210.59 or lower.

Source: My call · my model, not financial advice

FULL SOURCE LIST

Every number above traces to one of these filings. Only pull this up if a viewer asks “how do you know that.”

8k-q2fy27 — 8-K EX-99.1 — Q2 FY2027 results (quarter ended Aug 1 2026), filed Aug 27 2026

8k-q1fy27 — 8-K EX-99.1 — Q1 FY2027 results (quarter ended May 2 2026), filed May 27 2026

10q-q1fy27 — 10-Q for the quarter ended May 2 2026, filed May 28 2026

10k-fy26 — 10-K for fiscal year ended Jan 31 2026, filed Mar 11 2026

8k-q4fy26 — 8-K EX-99.1 — Q4 & FY2026 results (quarter ended Jan 31 2026), filed Mar 5 2026

8k-q3fy26 — 8-K EX-99.1 — Q3 FY2026 results (quarter ended Nov 1 2025), filed Dec 2 2025

8k-q2fy26 — 8-K EX-99.1 — Q2 FY2026 results (quarter ended Aug 2 2025), filed Aug 28 2025

8k-q1fy26 — 8-K EX-99.1 — Q1 FY2026 results (quarter ended May 3 2025), filed May 29 2025

8k-q4fy25 — 8-K EX-99.1 — Q4 & FY2025 results (quarter ended Feb 1 2025), filed Mar 5 2025

8k-q3fy25 — 8-K EX-99.1 — Q3 FY2025 results (quarter ended Nov 2 2024), filed Dec 3 2024

form4 — Form 4 filings, executive officers and directors, Apr 17 2025 - Aug 17 2026 (101 filings, aggregated and re-parsed from cached XML)